



MGM High Yield Credit Analysis

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MGM Business Overview

Business Description

MGM Resorts International (NYSE: MGM) is a multinational gaming, hospitality, and entertainment company. They operate resort properties that combine casino gaming, hotels, entertainment, dining, and conventions. MGM's business span across the United States, China (Macau), digital platforms, and soon Japan (Osaka).

MGM operates four key segments: Las Vegas Strip Resorts, Regional Operations, MGM China, and MGM Digital. The company's core strategy is to maximize customer spend across gaming and non-gaming revenues within its ecosystem. Gaming revenue is driven by casino activities which includes slot machines and table games. Non-gaming revenue includes hotel, food and beverage, entertainment, retail, and conventions, which together form a significant revenue base.

In Las Vegas, MGM generates more than half of its revenue from non-gaming activities, reflecting more diversified and stable earnings. In contrast, regional and Macau operations remain heavily exposed to gaming revenue, making them more sensitive to consumer spending and gaming volumes. Additionally, MGM is expanding into digital gaming through its online platform BetMGM, offering sports betting and iGaming. This segment represents a long-term growth initiative aimed at capturing structural shifts towards online gambling.

Industry Structure and Competitive Position

MGM operates in a highly competitive and capital-intensive industry characterized by high fixed costs, ongoing capital expenditures, and strict regulatory barriers. Entry into the market is limited by licensing requirements and significant upfront investment, but competition remains intense across key factors such as location, property quality, customer experience, brand, and digital capabilities. The company competes not only with major casino operators in the U.S. markets, and Macau, but also with broader entertainment alternatives such as cruises, amusement parks, horse racing, and other leisure activities.

Despite this competitive environment, MGM maintains strong market positions across its core segments. In Las Vegas, the company controls roughly 20% of Strip gaming revenue, making it one of the largest operators. In digital, BetMGM holds around 15% share in U.S. online sports betting and iGaming, consistently ranking among the top 3 platforms. This scale across both physical and digital platforms supports revenue stability and brand visibility.

Competitive dynamics vary by region. In Las Vegas, competition is concentrated among large operators offering similar experiences. Regional markets are more localized, with

demand driven by proximity and customer access. In Macau, competition is limited to a small number of operators but remains intense due to the concentration of VIP players. While MGM benefits from high barriers to entry and strong brand assets, competition is increasing, particularly from digital competitors such as DraftKings and FanDuel. All in all, MGM's strengths lie in its premium resorts, diversified revenue base, and growing digital platform.

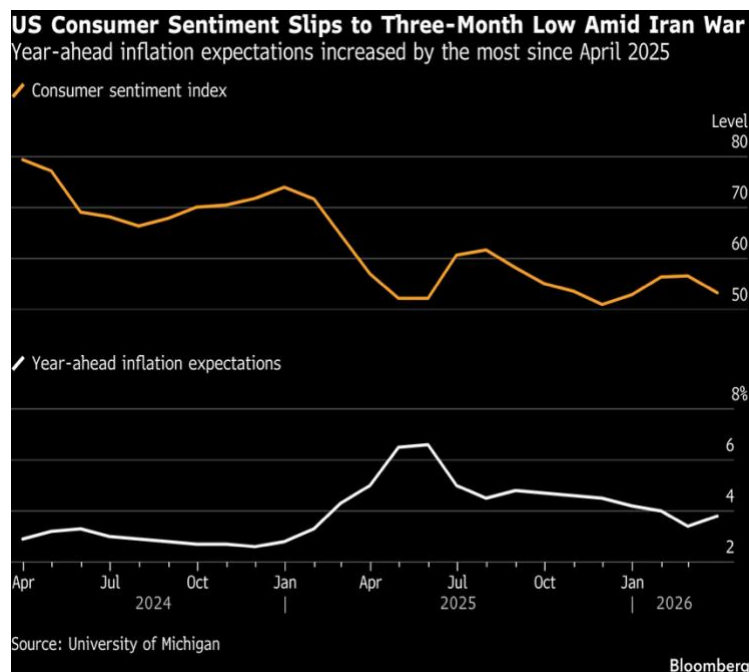
Cyclicality, Secular, Structural Risks

MGM's business is highly cyclical and heavily dependent on consumer spending, tourism, and overall economic conditions. The consumer sentiment data shown below highlights two key points. First, sentiment has declined meaningfully in recent periods, reaching levels that coincide with weaker economic activity. Second, the chart shows that drops in sentiment consistently align with recessions and a slowdown in demand. This matters directly for MGM because its revenue is highly tied to discretionary spending.



Source: University of Michigan Consumer Sentiment Index (via Federal Reserve Economic Data – FRED)

When sentiment falls, consumers become more cautious, cutting back on non-essential spending such as travel, gaming, and entertainment. This leads to fewer visits to Las Vegas, lower gaming volumes, reduced hotel occupancy, and weaker pricing power across rooms. Revenue can also vary due to events such as major concerts, conventions, and holidays, which further adds volatility. In Macau, this sensitivity is amplified, as performance depends not only on sentiment but also on government policy, travel flows, and economic conditions in China.



The Bloomberg chart adds another perspective by showing that while sentiment remains weak, inflation expectations are growing. This combination has a negative impact for MGM. Weak sentiment reduces demand, while inflation continues to pressure consumers' real purchasing power, limiting their ability to spend even if they want to. For MGM, this translates into lower spend per customer, shorter stays, and reduced gaming intensity per visit. From my perspective, this dynamic is critical

Source: University of Michigan Consumer Sentiment Index (via Federal Reserve Economic Data – FRED); Bloomberg

because of MGM's high fixed costs. Lease payments and operating expenses do not adapt quickly when revenues fall, meaning that lower demand reflects directly into lower margins. As a result, EBITDA can decline relative to revenue, putting pressure on leverage and interest coverage. This is the environment where credit risk increases, as declining earnings coexist with sticky financial liabilities.

MGM also faces long-term structural risks that adds on these cyclical pressures. The growth of online gaming and predictive markets is shifting demand away from physical casinos. Thus, increasing competition and requiring continuous investment to remain competitive. Moreover, their asset-light strategy which includes their sale-leaseback transactions, improves liquidity but introduces fixed lease obligations that behave similarly to debt. This increases financial leverage and reduces flexibility during downturns. As a result, MGM's credit profile is exposed to both cyclical demand shocks, driven by weakening consumer sentiment, weakening purchasing power, and structural industry changes.

MGM Financial Performance and Analysis

Historical Revenue and Profitability

MGM Segment	2020	2021	2022	2023	2024	2025
Las Vegas Strip	44.82%	50.04%	65.16%	54.72%	51.44%	48.60%
Regional Operations	41.37%	36.79%	29.43%	22.91%	21.78%	21.81%
MGM China	13.81%	13.18%	5.40%	19.68%	23.55%	25.80%
MGM Digital	0.00%	0.00%	0.00%	2.70%	3.23%	3.78%
Total	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026.

MGM's revenue recovered strongly following the pandemic, increasing from \$4.8 billion in 2020 to \$16.6 billion in 2025. Most of this growth occurred between 2021 and 2023, driven by the reopening of Las Vegas, a rebound in demand, and the recovery of Macau. However, growth has slowed in the most recent years, with revenue increasing 6.0% in 2024 and only 0.7% in 2025. This suggests that MGM has moved beyond the recovery phase and is now operating in a normalized, mature growth environment.

The composition of revenue has shifted significantly over time. Las Vegas Strip Resorts remains the largest segment, but its share declined from a peak of 65% in 2022 to 48% in 2025, reflecting normalization after a strong post COVID recovery. In contrast, MGM China has grown rapidly, increasing from just 5% of total revenue in 2022 to 26% in 2025 as Macau demand returned. Regional Operations have steadily, falling from 41% in 2020 to 22% in 2025, which reflects the slower growth and mature nature of local gaming. Meanwhile, MGM Digital has emerged as a small but growing contributor, reaching nearly 4% of total revenue by 2025.

Overall, MGM's revenue base is now more diversified across geographies and business segments. However, this diversification introduces trade-offs. Las Vegas remains the highest-quality and most stable earnings base, while the increasing contribution from MGM China adds exposure to more volatile, externally driven demand. At the same time, MGM Digital provides long-term growth potential but remains small in scale. Overall, this suggests that while MGM has reduced its reliance on Las Vegas, it has not necessarily improved the overall stability of its revenue.

Income Statement	2020	2021	2022	2023	2024	2025
Las Vegas Strip Resorts Revenue	\$2,131	\$4,598	\$8,127	\$8,767	\$8,785	\$8,405
Regional Operations Revenue	\$1,967	\$3,381	\$3,671	\$3,670	\$3,720	\$3,772
MGM China Revenue	\$657	\$1,211	\$674	\$3,154	\$4,022	\$4,462
MGM Digital Revenue	\$0	\$0	\$0	\$432	\$552	\$654
Total Revenue	\$4,755	\$9,189	\$12,471	\$15,591	\$16,528	\$16,639
Growth Rate	-83%	93.26%	35.71%	25.02%	6.01%	0.67%
Las Vegas Strip EBIT	-\$629	\$2,150	-\$350	\$1,506	\$1,518	\$1,266
Regional Operations EBIT	-\$451	\$488	\$389	\$428	\$471	\$449
MGM China EBIT	-\$459	-\$236	-\$369	\$261	\$360	\$358
MGM Digital EBIT	\$0	\$0	\$0	-\$115	-\$177	-\$214
Corporate Expense	\$896	-\$123	\$1,770	-\$189	-\$680	-\$856
Total EBIT	-\$643	\$2,279	\$1,439	\$1,891	\$1,491	\$1,002
Adjusted EBIT	-\$539	\$785	\$369	\$1,492	\$1,491	\$1,374
Interest Expense	\$676	\$800	\$595	\$460	\$443	\$419
Non-operating items from unconsolidated affiliates	-\$103	-\$83	-\$23	-\$1	-\$1	\$1
Other, net	-\$89	\$66	\$83	\$43	\$71	-\$303
Pre-Tax Income	-\$1,408	-\$32	-\$166	\$1,074	\$1,117	\$653
Tax Benefit	\$192	-\$253	-\$697	-\$158	-\$52	\$240
Net income attributable to noncontrolling interests	\$287	\$46	\$1,266	-\$173	-\$318	-\$315
Adjusted Net Income	-\$929	-\$240	\$403	\$743	\$747	\$578
Depreciation & Amort.	\$1,211	\$1,151	\$3,482	\$814	\$831	\$1,018
Adjusted EBITDA	\$672	\$1,935	\$3,851	\$2,306	\$2,322	\$2,392
EBITDA Margin	14.13%	21.06%	30.88%	14.79%	14.05%	14.37%

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026.

MGM's profitability and revenue growth has been inconsistent in the past 5 years. Adjusted EBIT improved sharply from a loss of \$539 million in 2020 to \$785 million in 2021, reflecting a strong recovery. Here, we can see a trend that is largely driven by changes in segment mix and cost structure. Las Vegas, which is the company's highest-margin segment, has become a smaller share of total revenue, reducing its contribution to consolidated profitability. Regional Operations provide relatively stable earnings but limited growth. While MGM China, despite strong revenue expansion, generates lower-margin and more volatile earnings. In addition, MGM Digital continues to operate at a loss as the company invests in customer acquisition and platform development, creating a drag on overall profitability.

Overall, margins reflect these pressures. EBITDA margin peaked at 30.88% in 2022, driven by temporary recovery dynamics and a sale of Mirage for 1.07 billion, but declined to around 14% from 2023 through 2025. This suggests that the 2022 margin level was not sustainable, a one-time event, and that the company's normalized profitability is significantly lower. Moreover, rising corporate expenses have further weighed on earnings, limiting margin growth even as revenue stabilized. As MGM has diversified its revenue base, it has also diluted the overall quality and stability of earnings. From my perspective, this implies that EBITDA may overstate sustainable cash-generating capacity, particularly in a downside scenario.

Cash Flow, Liquidity, and Capital Structure

MGM's liquidity is supported by a combination of operating cash flow, cash, and access to committed credit facilities. In 2025, the company generated approximately \$2.39 billions of EBITDA, with \$374 million of cash interest and total capital expenditures of \$1.1 billion. After adjusting for estimated maintenance capital expenditures of roughly \$660 million (60% of total CAPEX), MGM generates approximately \$1.35 billions of operating cash flow before debt maturities. This represents the cash available to service debt and support liquidity.

Liquidity Sources	Amount Outstanding	Maturity
Cash	\$1,500	-
MGM China Cash	\$565	-
Operating Cash	\$1,358	-
MGM China Revolver	\$2,512	-
Revolver (Undrawn)	\$2,300	2028
Yen Credit Facility	\$87	-
Total Liquidity	\$8,322	-
Capital Structure		
Senior Unsecured	\$5,426	2026 to 2036
Equity	\$9,440	-
Total Cushion	\$9,440	-

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

As shown in the table above, total liquidity is about \$8.3 billion, consisting of \$2.06 billion of cash, \$2.3 billion of fully undrawn revolver capacity, and approximately \$1.35 billions of annual operating cash flow. This provides a meaningful buffer relative to near-term obligations thus supporting the company's ability to service its debt.

Instrument	Maturity	Carrying Value (\$mm)
Senior Notes	2026	750
Senior Notes	2026	400
Senior Notes	2027	675
Senior Notes	2027	750
Senior Notes	2028	750
Senior Notes	2029	850
Senior Notes	2031	500
Senior Notes	2032	750
Senior Debentures	2036	0.552
Due By 2032		\$5,425
Total Debt		\$5,395

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

MGM's maturities are well distributed. The company faces \$1.15 billions of maturities in 2026 and \$1.43 billions in 2027, followed by \$750 million in 2028 and \$850 million in 2029. In total, about \$5.4 billion of debt is due by 2032. As shown in the table, annual operating cash flow before maturities of \$1.35 billion can cover a large portion of yearly obligations, with the remaining balance supported by cash on hand, revolver availability, or refinancing.

This implies that MGM has a multi-year liquidity runway extending through the end of the decade under stable conditions. The company is not required to fully rely on external financing in any single year, and its staged maturity schedule reduces near-term refinancing needs. However, the business is not self-liquidating, thus making full repayment of the debt heavily dependent on continued access to capital markets.

Base Case Income Statement	2026	2027	2028	2029	2030	2031
FCF	\$534	\$805	\$1,020	\$1,181	\$1,394	\$1,498

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

The main concern is the durability of cash flow supporting this liquidity. MGM operates with a high fixed-cost structure, including interest expense, lease obligations, and ongoing capital expenditures, which limits flexibility in a downturn. As a result, even a small decline in EBITDA would lead to a reduction in operating cash flow available before maturities, weakening liquidity coverage.

All things considered, MGM has adequate free cash flow and liquidity in the base case, with sufficient resources to cover near-term maturities and maintain a multi-year runway. However, its reliance on stable operating performance and capital market access means that liquidity remains sensitive to downside scenarios, particularly given the company's capital intensity and exposure to cyclical demand.

Base Case Projections

Base Case Income Statement	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Las Vegas Strip Resorts Revenue	\$2,131	\$4,598	\$8,127	\$8,767	\$8,785	\$8,405	\$8,372	\$8,650	\$8,909	\$9,222	\$9,500	\$9,786
Regional Operations Revenue	\$1,967	\$3,381	\$3,671	\$3,670	\$3,720	\$3,772	\$3,747	\$3,931	\$4,049	\$4,171	\$4,296	\$4,425
MGM China Revenue	\$657	\$1,211	\$674	\$3,154	\$4,022	\$4,462	\$4,268	\$4,705	\$4,941	\$5,188	\$5,447	\$5,719
MGM Digital Revenue	\$0	\$0	\$0	\$432	\$552	\$654	\$729	\$813	\$907	\$1,011	\$1,127	\$1,257
Total Revenue	\$4,755	\$9,189	\$12,471	\$15,591	\$16,528	\$16,639	\$16,387	\$17,286	\$17,899	\$18,580	\$19,243	\$19,930
Growth Rate	-83%	93.26%	35.71%	25.02%	6.01%	0.67%	-1.52%	5.49%	3.54%	3.80%	3.56%	3.57%
Las Vegas Strip EBIT	-\$629	\$2,150	-\$350	\$1,506	\$1,518	\$1,266	\$1,382	\$1,428	\$1,470	\$1,522	\$1,568	\$1,615
Regional Operations EBIT	-\$451	\$488	\$389	\$428	\$471	\$449	\$452	\$474	\$489	\$503	\$518	\$534
MGM China EBIT	-\$459	-\$236	-\$369	\$261	\$360	\$358	\$359	\$396	\$416	\$437	\$458	\$481
MGM Digital EBIT	\$0	\$0	\$0	-\$115	-\$177	-\$214	-\$109	-\$73	-\$54	-\$30	\$34	\$50
Corporate Expense	\$896	-\$123	\$1,770	-\$189	-\$680	-\$856	-\$768	-\$768	-\$768	-\$768	-\$768	-\$768
Total EBIT	-\$643	\$2,279	\$1,439	\$1,891	\$1,491	\$1,002	\$1,316	\$1,457	\$1,552	\$1,664	\$1,811	\$1,913
Adjusted EBIT	-\$539	\$785	\$369	\$1,492	\$1,491	\$1,374	\$1,316	\$1,457	\$1,552	\$1,664	\$1,811	\$1,913
Interest Expense	\$676	\$800	\$595	\$460	\$443	\$419	\$441	\$441	\$441	\$441	\$441	\$441
Non-operating items from unconsolidated affiliates	-\$103	-\$83	-\$23	-\$1	-\$1	\$1	\$0	\$0	\$0	\$0	\$0	\$0
Other, net	-\$89	\$66	\$83	\$43	\$71	-\$303	\$0	\$0	\$0	\$0	\$0	\$0
Pre-Tax Income	-\$1,408	-\$32	-\$166	\$1,074	\$1,117	\$653	\$875	\$1,016	\$1,112	\$1,223	\$1,370	\$1,472
Tax Benefit	\$192	-\$253	-\$697	-\$158	-\$52	\$240	\$0	\$0	\$0	\$0	\$0	\$0
Net income attributable to noncontrolling interests	\$287	\$46	\$1,266	-\$173	-\$318	-\$315	\$0	\$0	\$0	\$0	\$0	\$0
Adjusted Net Income	-\$929	-\$240	\$403	\$743	\$747	\$578	\$875	\$1,016	\$1,112	\$1,223	\$1,370	\$1,472
Depreciation & Amort.	\$1,211	\$1,151	\$3,482	\$814	\$831	\$1,018	\$1,002	\$1,057	\$1,095	\$1,137	\$1,177	\$1,219
Adjusted EBITDA	\$672	\$1,935	\$3,851	\$2,306	\$2,322	\$2,392	\$2,318	\$2,514	\$2,647	\$2,800	\$2,988	\$3,132
EBITDA Margin	14.13%	21.06%	30.88%	14.79%	14.05%	14.37%	14.15%	14.54%	14.79%	15.07%	15.53%	15.71%
Cash Interest	817	742	495	446	344	374	293	218	137	128	103	143
Capex	\$271	\$491	\$765	\$932	\$1,200	\$1,100	\$1,050	\$1,050	\$1,050	\$1,050	\$1,050	\$1,050
Cash Taxes	676	800	595	460	443	419	441	441	441	441	441	441
FCF	-\$1,093	-\$97	\$1,997	\$468	\$335	\$499	\$534	\$805	\$1,020	\$1,181	\$1,394	\$1,498

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

The base case is built from the bottom up, with each segment modeled on its own revenue drivers: visitor volumes, spend per customer, hold rates, occupancy, and pricing. The projections tie directly to the consolidated income statement through segment-level EBIT, with corporate expense held flat at \$768 million annually (average of 2024 and 2025 corporate expense).

Las Vegas Strip Resorts Revenue Drivers Assumptions:

Visitor growth is assumed to be flat in 2026, reflecting the current decline in consumer sentiment. From 2027 onward, traffic grows at 1.5% per year. Since occupancy is already near 90% and the Las Vegas market is mature, there is limited room to grow through volume alone. Growth is therefore mainly driven by how much each visitor spends. Spend per visitor increases from 0.5% in 2026 to 2.0% annually thereafter, supported by pricing power, inflation, and MGM's premium positioning on the Strip. Two events provide additional one-time uplift: Formula 1 adds 0.5% in 2027, and the Super Bowl adds 0.75% in 2029. Combining traffic, spend, and event-driven demand, total Las Vegas revenue grows at roughly 3.5% to 4.5 % per year in the outer years.

On the gaming side, table drop and slot handle grow in line with visitor activity. Hold rates are kept constant throughout the forecast, 24.67% for table games and 9.37% for slots, both of which represent the 2020 to 2025 historical average. These rates are structurally stable and do not vary from year to year, so holding them flat is the most defensible

assumption. Gaming incentives, known as SSP allowances, remains at 48% of gross gaming win, which reflects the competitive environment on the Strip. As a result, MGM retains 52% of gross gaming win as reported casino revenue.

Room revenue is driven almost entirely by pricing. Occupancy stabilizes at 90% with room count held constant at approximately 37,162. Since there is no volume to grow, ADR becomes the primary lever, growing at 2% per year. This keeps RevPAR growth steady but modest. Food and beverage and entertainment revenues grow at 3% to 4% annually, supported by visitor volumes and higher per-customer spending.

Regional Operations Revenue Drivers Assumptions:

Regional operations are modeled as a stable, low-growth business. These are mature local markets with limited pricing power and no meaningful event-driven demand. Visitor growth is 1.0% in 2026 and 1.5% per year thereafter, with spend per visitor growing at roughly the same pace. Total revenue grows at approximately 2% to 3% annually, which largely reflects inflation rather than real underlying growth. These growth rates we chose due to the softening in customer sentiment and decline in purchasing power.

On the gaming side, table win rates are held at 20.47% and slot win rates at 9.73%, both based on historical averages. Promotional allowances remain at around 22% of gross gaming win, reflecting the competitive nature of local gaming markets. Non-gaming revenue such as rooms, food and beverage, and entertainment grows at roughly 3% per year. This segment is not a growth engine. Its role in the model is to provide steady, predictable cash flow.

MGM China Assumptions:

MGM China is the primary growth driver in the model. Visitor growth is assumed at 2% in 2026 and 3% per year thereafter, reflecting improving travel flows into Macau. Spend per visitor grows from 1.5% to 2.0%, supported by expansion in the premium mass segment. Together, total revenue grows at 3.5% in 2026 and approximately 5% annually from 2027 onward.

The gaming economics in Macau are structurally different from the United States. Hold rates stabilize at 24.67% and normalized from 23.37% in 2026. More importantly, gaming incentives in Macau run at only around 3.3% of gross gaming win, compared to 48% on the Las Vegas Strip. This means MGM retains approximately 97% of gross gaming win as reported casino revenue, which produces a much higher net monetization rate than in the U.S. Despite strong revenue growth, EBIT margin is held stable at approximately 8% throughout the forecast. This reflects the ongoing cost base and regulatory constraints that are characteristic of operating in Macau.

MGM Digital Revenue Driver Assumptions:

This growth assumption is built from three components: 6.5% underlying market growth, 3% from product expansion, and 2% from expansion into new countries. No meaningful market share gains are assumed, keeping the forecast conservative and grounded in overall industry growth backed by industry research by Mintel and Grand View Research.

The segment operates at a loss in the near term. EBIT margin starts at -15% in 2026 and will improve steadily to 4% by 2031. This reflects an investment in customer acquisition and marketing in the early years, with profitability improving as the platform scales and promotional spending declines. The near-term losses are small and do not represent a drag on consolidated results.

Base Case Income Statement:

MGM's capital structure is anchored by \$6.2 billion of long-term notes as of 2025, with no short-term debt, and a well-staggered maturity schedule that to 2036. The biggest liability is the company's operating lease obligations, which total approximately \$24.9 billion in 2025 and remain essentially flat through 2031 at roughly \$25 billion. These lease obligations behave like debt: they are fixed, senior in the cash flow waterfall, and do not change during downturns. When added to gross debt, adjusted leverage stands at \$31 billion in 2025, producing an Adjusted Debt/EBITDAR of 6.63x, a figure that overstates the picture conveyed by gross leverage alone (1.32x Gross Debt/EBITDAR) and is the more relevant metric for assessing true financial risk. In the base case, adjusted leverage improves steadily from 6.63x in 2025 to 5.42x by 2031, driven entirely by EBITDA growth rather than debt reduction, since total debt and lease obligations remain largely unchanged. This makes the deleveraging wholly dependent on operating performance.

On pensions, MGM participates in multiemployer plans, which limits balance sheet recognition of pension liabilities. As a result, pension obligations do not appear in the adjusted leverage calculation and are not a material driver of credit risk in the near term. All in all, the combination of fixed lease obligations, stable gross debt, and off-balance-sheet pension exposure defines a capital structure that is levered, inflexible, and highly sensitive to any decline in EBITDA.

Base Case Leverage and Coverage Projections

Credit Matrix												
EBIT/Interest	-0.80	0.98	0.62	3.24	3.36	3.28	2.98	3.30	3.52	3.77	4.11	4.34
EBITDA/Interest	0.99	2.42	6.47	5.01	5.24	5.71	5.26	5.70	6.01	6.35	6.78	7.10
(EBITDA - CAPEX)/Interest	0.59	1.81	5.19	2.99	2.53	3.08	2.88	3.32	3.62	3.97	4.39	4.72
Gross Debt/EBITDAR	8.70	4.19	1.09	1.61	1.38	1.32	1.18	0.87	0.55	0.39	0.37	0.36
Adjusted Debt/EBITDAR	14.60	8.40	5.39	7.06	6.80	6.63	6.63	5.96	5.42	5.04	4.79	4.59
FCF/ Debt	-0.053	-0.004	0.063	0.014	0.011	0.016	0.018	0.027	0.037	0.044	0.051	0.055

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

MGM's coverage profile shows a clear improvement across all metrics, moving from weak levels into solid high-yield territory. EBITDA/interest rises consistently, while EBITDA coverage remains strong throughout the forecast. Most importantly, the capex-adjusted measure which is the most conservative and relevant metric for a capital-intensive operator, improves meaningfully from tight levels to a comfortable cushion. This confirms that MGM is generating real cash flow after required reinvestment. By 2031, coverage metrics indicate a stable ability to service fixed charges, even under conservative assumptions.

Leverage, however, remains the defining constraint of the credit. While gross debt/EBITDAR declines rapidly, this improvement is partly due to MGM's asset-light model following sale-leasebacks with VICI Properties. Adjusted leverage, which includes lease obligations, remains elevated and firmly within high-yield ranges. The key dynamic is that deleveraging is driven by EBITDA growth rather than absolute debt reduction. This is structurally fragile: fixed obligations remain high, and the credit profile is highly sensitive to earnings volatility. The improving trajectory is positive, but servicing debt depends entirely on MGM maintaining operating momentum, as even a small shock to EBITDA would be challenging to deleverage.

Downside Case

Downside Case Income Statement	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Las Vegas Strip Resorts Revenue	\$2,131	\$4,598	\$8,127	\$8,767	\$8,785	\$8,405	\$7,754	\$7,647	\$7,698	\$7,789	\$7,842	\$7,896
Regional Operations Revenue	\$1,967	\$3,305	\$3,671	\$3,670	\$3,720	\$3,772	\$3,563	\$3,702	\$3,702	\$3,702	\$3,702	\$3,702
MGM China Revenue	\$657	\$1,211	\$674	\$3,154	\$4,022	\$4,462	\$3,918	\$4,010	\$3,870	\$3,735	\$3,604	\$3,478
MGM Digital Revenue	\$0	\$0	\$0	\$432	\$552	\$654	\$667	\$681	\$694	\$708	\$722	\$737
Total Revenue	\$4,755	\$9,114	\$12,471	\$15,591	\$16,528	\$16,639	\$15,235	\$15,360	\$15,271	\$15,225	\$15,148	\$15,076
Growth Rate	-83%	91.67%	36.83%	25.02%	6.01%	0.67%	-8.44%	0.82%	-0.58%	-0.30%	-0.51%	-0.47%
Las Vegas Strip EBIT	-\$629	\$2,142	-\$350	\$1,506	\$1,518	\$1,266	\$775	\$841	\$924	\$935	\$941	\$948
Regional Operations EBIT	-\$451	\$498	\$389	\$428	\$471	\$449	\$249	\$296	\$333	\$333	\$333	\$333
MGM China EBIT	-\$459	-\$238	-\$369	\$261	\$360	\$358	\$157	\$396	\$416	\$437	\$458	\$481
MGM Digital EBIT	\$0	\$0	\$0	-\$115	-\$177	-\$214	-\$109	-\$73	-\$54	-\$30	\$34	\$50
Corporate Expense	\$896	-\$123	\$1,770	-\$189	-\$680	-\$856	-\$133	-\$102	-\$49	\$14	\$22	\$29
Total EBIT	-\$643	\$2,279	\$1,439	\$1,891	\$1,491	\$1,002	\$939	\$1,358	\$1,570	\$1,688	\$1,788	\$1,842
Adjusted EBIT	-\$539	\$785	\$369	\$1,492	\$1,491	\$1,374	\$1,316	\$1,457	\$1,552	\$1,664	\$1,811	\$1,913
Interest Expense	\$676	\$800	\$595	\$460	\$443	\$419	\$441	\$441	\$441	\$441	\$441	\$441
Non-operating items from unconsolidated affiliates	-\$103	-\$83	-\$23	-\$1	-\$1	\$1	\$0	\$0	\$0	\$0	\$0	\$0
Other, net	-\$89	\$66	\$83	\$43	\$71	-\$303	\$0	\$0	\$0	\$0	\$0	\$0
Pre-Tax Income	-\$1,408	-\$32	-\$166	\$1,074	\$1,117	\$653	\$875	\$1,016	\$1,112	\$1,223	\$1,370	\$1,472
Tax Benefit	\$192	-\$253	-\$697	-\$158	-\$52	\$240	\$0	\$0	\$0	\$0	\$0	\$0
Net income attributable to noncontrolling interests	\$287	\$46	\$1,266	-\$173	-\$318	-\$315	\$0	\$0	\$0	\$0	\$0	\$0
Adjusted Net Income	-\$929	-\$240	\$403	\$743	\$747	\$578	\$875	\$1,016	\$1,112	\$1,223	\$1,370	\$1,472
Depreciation & Amort.	\$1,211	\$1,151	\$3,482	\$814	\$831	\$1,018	\$932	\$940	\$934	\$931	\$927	\$922
Adjusted EBITDA	\$672	\$1,935	\$3,851	\$2,306	\$2,322	\$2,392	\$2,248	\$2,396	\$2,487	\$2,595	\$2,737	\$2,835
EBITDA Margin	14.13%	21.23%	30.88%	14.79%	14.05%	14.37%	14.75%	15.60%	16.28%	17.04%	18.07%	18.80%
Cash Interest	817	742	495	446	344	374	293	218	137	128	103	143
Capex	\$271	\$491	\$765	\$932	\$1,200	\$1,100	\$1,050	\$1,050	\$1,050	\$1,050	\$1,050	\$1,050
Cash Taxes	676	800	595	460	443	419	441	441	441	441	441	441
FCF	-\$1,093	-\$97	\$1,997	\$468	\$335	\$499	\$464	\$687	\$859	\$976	\$1,143	\$1,201

Source: Owen Purnomo, MGM Credit Analysis Model (Excel), 2026

The downside scenario models a global recession triggered by an economic shock or geopolitical event that hits the United States and China simultaneously. This is not a tail risk. Early signs of weakness are already visible: Las Vegas visitor volumes fell 7% in 2025, Strip gaming revenue dropped 11% in January 2026, and occupancy averaged around 80%

with ADR declining approximately 5%. These trends form the starting point for the downside case.

Decline in Overall Revenue

In Las Vegas, visitor growth turns negative at -3% in 2026 and -1.5% in 2027, while spend per visitor contracts by -2% and -1.5% respectively, reflecting both fewer visits and reduced per-trip spending as consumers spend less. Occupancy falls to 80% and ADR growth is flat in 2026 before recovering modestly. In Regional Operations, visitor growth contracts -1.5% in 2026 as local gaming markets soften alongside broader consumer sentiment. MGM China faces the sharpest decline: visitor growth of -3% and spend per visitor of -2% in 2026, worsening to -2% and -0.5% in 2027, reflecting the dual impact of weaker Chinese consumer confidence and rising geopolitical friction around global trade. MGM Digital sees market growth halved as advertising and promotional budgets compress.

EBITDA and Operating leverage

In this scenario we can see the divergence between revenue and EBITDA. MGM's fixed cost such as lease payments to VICI Properties, cash interest, and corporate overhead fixed cost, does not fall downward when revenue falls. Segment EBIT margins decline across all divisions: Las Vegas Strip falls from 15.1% in 2025 to 10.0% in 2026, Regional Operations from 12% to 7%, MGM China from 8% to 4%, and MGM Digital deepens its losses to -20% as revenue growth slows while fixed platform costs remain. This is consistent with historical precedent: during the 1999 to 2000 and 2008 to 2009 downturn, MGM's Strip EBITDA margin fell approximately 700 basis points in a single year as costs remained largely fixed.

Worsening Credit Metrics

The stress on credit metrics is most visible in the coverage and leverage ratios. EBITDA/Interest coverage falls from 5.71x in 2025 to 5.10x in 2026, while the more conservative capex-adjusted measure: (EBITDA - CAPEX)/Interest falls from 3.08x to 2.72x. This is the metric that matters most for a capital-intensive operator: it reflects the cash available to service debt after required reinvestment in the asset base. Adjusted Debt/EBITDAR, the most comprehensive leverage measure given MGM's lease-heavy structure, rises from 6.63x in 2025 to 6.98x in 2026 — reversing the deleveraging trajectory that is reflected in the base case. At nearly 7x adjusted leverage, MGM moves deeper into high-yield territory.

This is not a default scenario. MGM's liquidity runway, staggered maturity schedule, and diversified asset base provide sufficient buffer against a near-term negative event. However, it is a scenario in which the deleveraging stalls, adjusted leverage moves in the wrong direction, coverage metrics tighten, and the cost of refinancing rises. For

bondholders in the 2032 notes, the implication is spread widening and potential downgrade in ratings.

Covenant Analysis

The covenant for MGM's 2032 notes is weak and does not match the level of risk implied by the yield. While the bond trades like a high-yield credit, the indenture is structured much closer to investment-grade. The key issue is not what is included, but what is missing.

There are three major gaps that define the risk. First, there is no restricted payments covenant. MGM can pay unlimited dividends, repurchase shares, or move capital into subsidiaries without any constraint. There are no baskets, no earnings-based limits, and no linkage to leverage or coverage. This gives management full flexibility to move value away from creditors.

Second, there is no debt incurrence limits. MGM can take on additional debt at any level of the capital structure without restriction. There are no leverage cap and no requirement to maintain a minimum level of coverage. This means the balance sheet can weaken without triggering any covenant breach.

Third, there is no change of control put. If MGM were acquired in a leveraged buyout, bondholders would have no ability to exit their position. This is a meaningful risk, especially given the company's existing leverage and asset base.

All together, these three gaps create a situation where MGM can increase leverage, extract cash, and change ownership, all without providing any protection to bondholders. This is the main concern of the structure.

One of the meaningful financial covenants is the limitation on liens. MGM cannot pledge its core assets as collateral unless these notes are secured on the same terms. However, this protection is limited. There are several carve outs that allow liens in normal business activity, and there is a general basket that permits additional secured debt up to 15% of Consolidated Net Tangible Assets. This does not limit total leverage, but it does provide some protection against being structurally subordinated by secured creditors. There is also a provision that requires these notes to be secured if existing senior notes become secured, although this depends on regulatory approval and may not happen immediately.

There are also very few restrictions on asset sales. While sale-leaseback transactions are partially limited, there is no broader asset sale covenant. MGM can sell major operating assets and use the proceeds freely, including distributing them to shareholders. Given the company's history of monetizing assets through transactions with REITs such as VICI Properties, this is a real risk investors must face.

The guarantees structure initially appears strong, with many subsidiaries guaranteeing the notes. However, this support is not certain. The guarantees are tied to whether those subsidiaries guarantee other debt. If MGM refinances that debt into a structure without guarantees, the guarantees on these notes can be removed. In addition, some important subsidiaries are not currently included due to regulatory approval requirements. This means that part of the asset base sits outside the guarantees structure.

The call protection is also weaker than it appears. The make-whole provision only runs to the 2027 call date rather than the 2032 maturity. This reduces any kind of penalty for early refinancing and makes it easier for MGM to call the bond if conditions improve. After 2027, the bond becomes callable at relatively low premiums, which further limits upside for investors.

Altogether, the covenant does not really protect investor adequately. The bond does not meaningfully restrict leverage, prevent value leakage, or protect against a change in ownership. As a result, the credit must be evaluated based on operating performance and liquidity rather than covenant protection.

Recovery Analysis and Waterfall

In a downside scenario, these notes rank as senior unsecured obligations. They sit behind secured creditors and any DIP financing, and they share recovery with other senior unsecured claims. For the 2032 bond, recovery depends on the enterprise value remaining after secured claims are paid, divided across the unsecured pool. The issue is that both sides of this equation work against bondholders.

First, the unsecured pool is larger than it appears. MGM's REIT landlords, including VICI Properties, Blackstone, and Stonepeak, hold long-term leases on the company's most valuable properties. If these leases are rejected in bankruptcy, they generate damage claims that rank *pari passu* with the notes. These claims could be large and would directly dilute recovery. This is likely the most important factor in determining recovery outcomes.

Second, enterprise value is constrained by regulation. Gaming licenses cannot be transferred without approval from multiple state regulators. This reduces the number of potential buyers and slows down the restructuring process. With fewer bidders and less competition, asset values are likely to be lower.

MGM's Recovery Waterfall:

1. Secured creditors and DIP financing are paid first
2. Senior unsecured creditors, including these notes, share recovery
3. Equity receives any remaining value

However, recovery is weaker than MGM's structure suggests. The unsecured pool is diluted, and the value available to distribute is likely lower due to regulatory constraints. As a result, expected recovery is lower than the capital structure analysis imply.

Key Risk and Mitigants

Digital Cannibalization: MGM is investing aggressively in BetMGM to capture the structural shift toward online gaming; however, this strategy risks cannibalizing business. The transition to digital introduces pressures on margins due to elevated promotional intensity and customer acquisition costs, raising the risk that digital growth does not fully offset the decline in physical casinos. The analysis stress-tests this by choosing a conservative digital growth assumptions and delaying BetMGM's profitability.

Lease-Driven Structural Leverage: MGM's sale-leaseback transactions with VICI Properties have transformed owned real estate into long-term fixed lease obligations. Thus, increasing structural leverage and reducing financial flexibility. Here I anchor the leverage assessment on Adjusted Debt/EBITDAR, using lease obligations to reflect MGM's true fixed cost burdens.

Regulatory and International Exposure Risks: MGM faces regulatory and execution risks in its international operations, particularly in China and Japan. In Macau, ongoing regulatory oversight and policy uncertainty remain a key risk. In Japan, the Osaka resort project carries execution risk, including potential cost overruns and delays that could pressure returns and increase capital requirements. I address these risks by using conservative international growth assumptions, and not assuming upside from Japan, while treating Macau as a stable but non-growing source of cash flow.

Investment Thesis and Recommendation

MGM Resorts		CUSIP: 552953CJ8		Ratings: B+ / B1 / BB-
Coupon	6.500%	Today	4/3/26	Current Spread & Duration:
Current Price	\$101.37	Maturity:	5/15/32	187
10 Year T-Yield:	4.345%	Current Yield:	6.216%	5.09
Scenario	Spreads	Price	Coupon	1Y Total Returns
Upside	160	\$102.80	\$6.50	7.83%
Base	187	\$101.42	\$6.50	6.46%
Downside	350	\$93.55	\$6.50	-1.30%
Downside^2	600	\$82.87	\$6.50	-11.84%

Source: Owen Purnomo, Paramount Credit Analysis Model (Excel), 2026.

The MGM Resorts International 6.5% Senior Notes due 2032 (CUSIP: 552953CJ8) are senior unsecured obligations that currently offer a 6.46% total return. However, the downside profile is meaningfully asymmetric. A widening to 350 basis points (moderate recession scenario) implies a -1.30% return, while a more severe widens to 600 basis points results

in a -11.84% loss. Assigning probabilities of 15% to a tightening scenario, 40% to a base case, 30% to a moderate recession, and 15% to a stress scenario, the probability-weighted expected return is approximately 3.88%, which falls below the 4.345% risk-free rate. In other words, the investment is not being adequately compensated for the risk.

The biggest concern is structural. MGM has monetized its highest-quality assets through sale-leaseback transactions with VICI Properties. While reported gross leverage appears conservative at 1.32x, adjusted leverage rises to 6.63x when incorporating roughly \$25 billion of fixed lease obligations. This creates financial inflexibility, high fixed-cost structure at a time when operating performance is weakening. At the same time, MGM is exposed to international risk in China and execution risk in Japan, introducing risks that coincides directly with the bond's maturity and is not reflected in current spreads.

The covenant also provides little protection for bondholders. There are no meaningful restrictions on dividends or share repurchases, no limitations on incremental debt, and no change-of-control put. The limitation on liens is diluted by broad carve-outs, and the guaranteed structure is conditional and can fall away upon refinancing. This leaves bondholders fully exposed and vulnerable in a downside scenario.

As the bond is already trading at a premium, there is not much upside from here. At around \$101, it looks expensive, and investors are assuming things go almost perfectly just to earn a small return above risk-free rates. This creates a poor risk-reward: gains are limited, but the downside risk is much bigger. In a bankruptcy, recoveries could also be weaker than expected because lease-related claims rank equally with unsecured debt, which would further reduce what bondholders recover.

I recommend **AVOID** on the MGM Resorts International 6.5% Senior Notes due 2032. The bond becomes more attractive at spreads of 250 basis points or wider, where the carry appropriately compensates for structural and cyclical risks. Until then, the risk-reward profile remains unattractive and does not justify ownership.

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